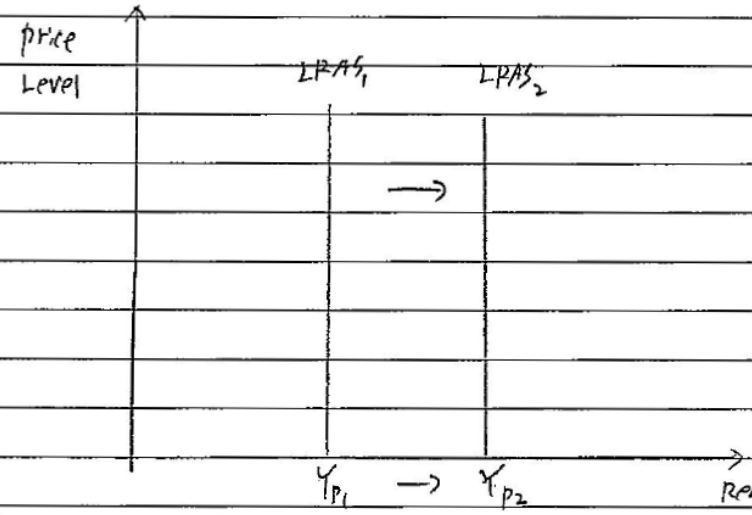
2 (a)

Supply-side policy is the policy that increases productivity in an economy. Market based supply-side policy is the policy that increases productivity in an economy without government intervention.



< Figure 1. The effect of Market based supply side policy in an economy >

According to figure 1, due to market based supply side policy, LRAS Long Run Aggregate Supply curve shifts to the right from LRAS1 to LRAS2 and potential real GDP increases from Yp1 to Yp2.

When the rate of direct tax is reduced in an economy, consumers' disposable income increases. Therefore, consumers' confidence increases. Resultantly,

As the rate of corporation tax is reduced in an economy, domestic firms' budget increases. Therefore, firms' opportunity cost to gain more workers and invest on technology decreases. Consequently, quantity of labour increases and due to investment to technology, their reasearch and development improves. Therefore, unemployment rate decreases and domestic firms' productivity increases due to gaining more information on technology. As a result, potential real GDP in an economy increases. Resultantly, domestic competition rises.

Furthermore, as productive efficiency increases, domestic firms' revenue able to produce greater goods and services. Therefore, quantity supply

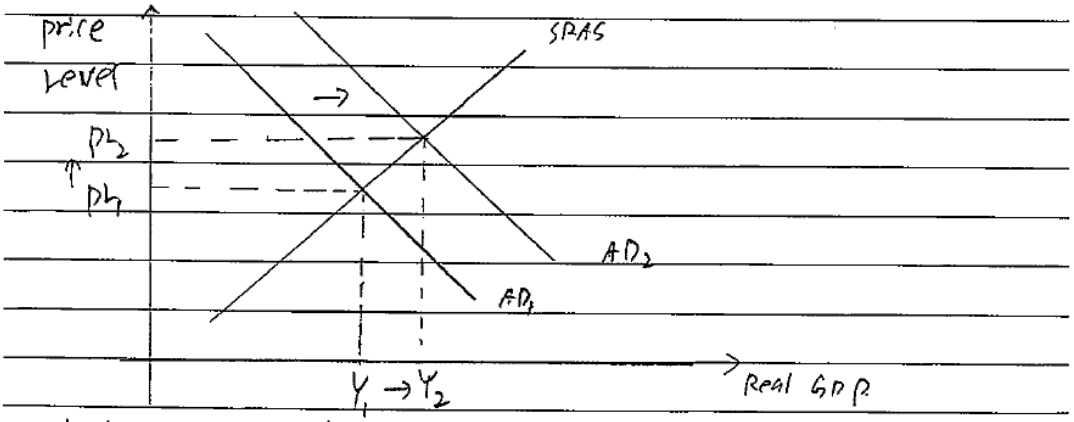
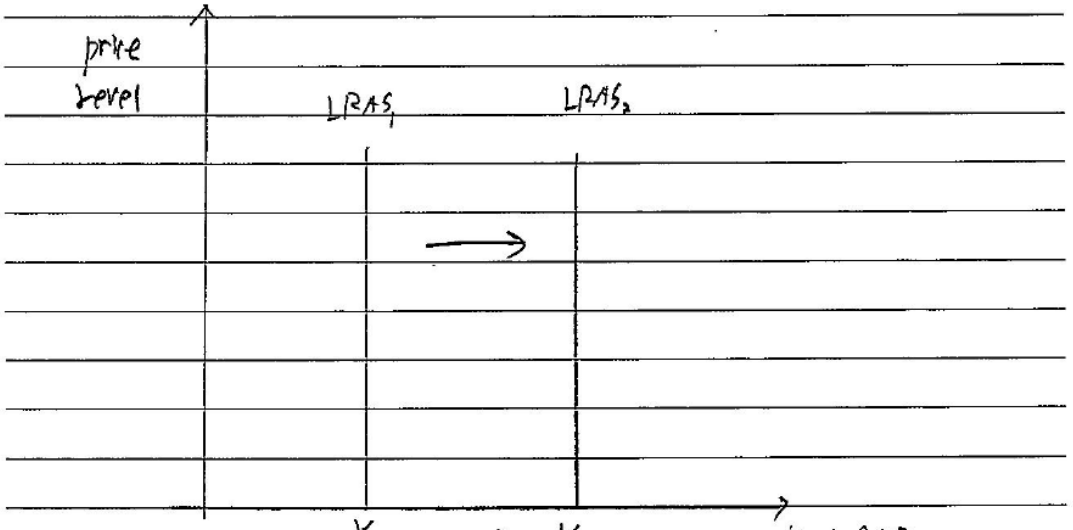


Figure 2. The consequence of reducing corporation tax in an economy

Furthermore, as productive efficiency increases, domestic firms become able to produce more goods and services. Therefore, quantity suppy of goods and services increases. Resultantly, scarcity of goods will decrease and price level of goods and services decrease. Consequently, due to law of demand, quantity demand increases and also domestic goods' price level becomes cheaper in abroad. Resutantly, net export increases and improve international competitiveness of a country.

For example, in 2021, corporation tax for Samsung electronics to pay decreased about 4% compared to previous year. Therefore, the price of new Samsung phones released in that year decreased about 10% to 15%. This resulted Samsung to export more smartphones to different countries about 10%. This resulted south korea's economy to experience real GDP about 2.3% and reduce unemployment rate about 1.8%.

2 (b) Supply-side policy is the policy that increases productivity in an economy. Interventionist supply-side policy is the policy that increases productivity with government intervention. Unemployment is a situation when people are willing and able to work but unable to find jobs.



< Figure1. The effect of interventionist supply side policy in an economy>

According to figure1, due to interventionist supply side policy, Long Run Aggregate Supply increases from $LRAS_1$ to $LRAS_2$. Therefore, potential real GDP increases from Y_{P1} to Y_{P2}

As the government spends money on a education, ~~institution such as schools,~~ and health care, ~~the quantity of labour in an economy increases. therefore,~~ people in an economy gains a higher chance to gain a job. As a result, quantity and quality of labour increases. Therefore, unemployment rate in an economy decreases.

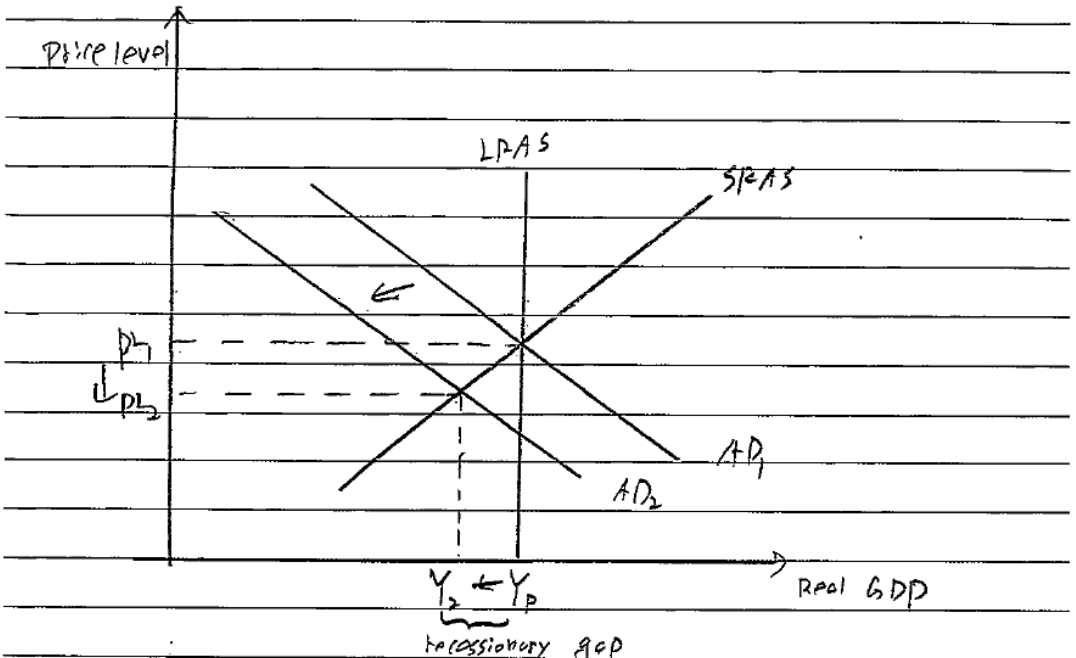
Furthermore, as the government grants subsidies to firms ~~to~~ for them to invest on technologies, ~~firms~~ domestic firms' amount of research and development increases. As a result, firms' productive efficiency ~~increase~~ increases. Therefore, scarcity of goods decrease as firms' quantity supply increases. Resultantly, as price level decreases ~~due~~ quantity demand increases due to law of demand. Eventually, total revenue that firms gain increases. Therefore, firms become more optimistic about their future and employ more workers to increase their revenue. As a result, unemployment rate in an economy decreases.

For example, in 2018, Swedish government granted subsidies to universities in Stockholm ~~in order for~~ to let more students attend university classes. This resulted about increase in 10% of amount of students going to university compared to 2015. Consequently, the average rate that students who graduated universities in Stockholm increased about 6%. As a result, total unemployment rate decreased about 2.7%.

However, side effects might occur. As firms invest more on technology, their productivity might increase but their need to employee more workers decrease as their new technology has greater productive efficiency than human workers. Therefore, structural unemployment might occur in an economy.

Furthermore, as firms' production of goods increases, the environmental pollution increases as well. Therefore, the amount of carbon dioxide emission might increase and worsen water pollution. This might lead people to have severe health issue which might make them lose their job. Therefore, unemployment rate might increase.

~~Lastly, even though greater amount of people gain high quality of education, due to~~ Lastly, brain drain effect might occur. Even though greater amount of people gain high quality of education in a domestic country, people might move to a country that has better environment for them. As a result, unemployment rate might increase.



(Figure 1 The increase in unemployment due to interventionist supply side policy)

Interventionist supply-side policy might be effective to reduce unemployment rate ~~start~~ ~~increase~~ by improving technology and employees greater workers or by providing better quality of education. However, improvement in technology might trigger structural unemployment and experience brain drain effect, which would increase unemployment rate.

Market based supply side policy would be a better way to ~~solve~~ ~~unemployment~~ reduce unemployment rate.